Kestrel U.S. Real Estate Fund

Quarterly Investor Report — Fourth Quarter 2025

Kestrel Investment Management • Open-End Diversified Core Fund • Inception 2017

Portfolio Manager Commentary

The Fund generated a total net return of approximately +1.7% for the quarter, with $0.70 million of income and $0.19 million of appreciation. The Fund's net asset value was approximately $49.7 million at quarter-end. Performance was steady and income-led.

Investments Impacting Performance

Two assets were most relevant. **Riverside Town Center (grocery-anchored retail, Sacramento)** delivered stable, in-line income. **Metro Apartments (Denver)** appreciated modestly on rent growth. The balance of the portfolio performed in line with expectations. Leverage was ~25% LTV.

Outlook

The Manager expects continued income-driven performance with modest appreciation.

Selected Portfolio Statistics (Quarter-End)

Metric	Value
Net Asset Value	$49,729,238
Quarter Total Net Return	+1.66%
One-Year Net Return	6.61%
Since-Inception Net IRR	6.63%
Net Equity Multiple	1.41x
Loan-to-Value	25.3%

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